2025 Edition

UK VAT & Tax Compliance

Complete Accountant's Guide

For Accountants, Tax Practitioners & Business Owners

Full Compliance Checklist Guide

- ✔ VAT Registration & Returns
- ✔ Input & Output VAT Reconciliation
- ✔ Making Tax Digital (MTD) Compliance
- ✔ PAYE, NIC & Payroll Tax
- ✔ Corporation Tax & Self Assessment
- ✔ CIS (Construction Industry Scheme)
- ✔ Audit Preparation & Record Keeping
- ✔ HMRC Penalties & Appeals

UK VAT Act 1994 | Finance Act 2024 | HMRC Guidelines | Making Tax Digital

Foreword

Value Added Tax (VAT) was introduced in the United Kingdom on 1 April 1973 as part of the UK's accession to the European Economic Community. Governed by the Value Added Tax Act 1994 and subsequent Finance Acts, VAT remains one of the most significant sources of government revenue — raising over £160 billion annually.

For accountants and tax practitioners, navigating the UK's VAT and tax compliance landscape requires careful attention to deadlines, accurate record-keeping, and an understanding of constantly evolving HMRC guidance. The introduction of Making Tax Digital (MTD) has further transformed how businesses report and pay tax, requiring compatible software and quarterly digital submissions.

This guide provides a comprehensive, checklist-based reference covering all major areas of UK VAT and tax compliance — from VAT registration and returns to PAYE, Corporation Tax, CIS, and audit preparation. It is designed for use by accountants, bookkeepers, finance managers, and business owners operating in the United Kingdom.

This Guide Covers:

- VAT Registration thresholds, process and deregistration rules
- VAT Return preparation, submission and payment via MTD
- Input & Output VAT reconciliation and error correction
- PAYE, National Insurance Contributions and payroll compliance
- Corporation Tax computation, deadlines and R&D relief
- Self Assessment for directors, partners and sole traders
- Construction Industry Scheme (CIS) deductions and returns
- Capital Gains Tax, Stamp Duty and other business taxes
- Record-keeping requirements and audit preparation
- HMRC penalties, surcharges and appeal procedures

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Chapter 1

VAT Registration & Thresholds

Understanding when and how to register for VAT

VAT registration is mandatory when a business's taxable turnover exceeds the VAT threshold, currently **£90,000** in any rolling 12-month period (2024/25). Businesses may also register voluntarily below this threshold. HMRC must be notified within 30 days of exceeding the threshold.

Registration Checklist

- [ ] **Monitor rolling 12-month taxable turnover**
  Track monthly turnover and project forward. Include all VAT-taxable supplies (standard, reduced and zero-rated). Exempt supplies do not count toward the threshold.
- [ ] **Register for VAT when threshold is breached**
  Apply online via HMRC's VAT Registration Service or form VAT1. Registration is effective from the date the threshold was exceeded, or an agreed future date.
- [ ] **Choose the appropriate VAT scheme**
  Standard Accounting, Cash Accounting (turnover up to £1.35m), Flat Rate Scheme (up to £150k), Annual Accounting Scheme — select what best suits the business.
- [ ] **Obtain VAT Registration Number (VRN)**
  HMRC will issue a VAT Registration Number (9 digits). Display it on all VAT invoices. Interim trading while awaiting registration — retain VAT from day 1.
- [ ] **Consider voluntary registration**
  Voluntary registration allows reclaim of input VAT on purchases. Beneficial if customers are VAT-registered businesses (B2B). Less suitable for B2C businesses.
- [ ] **Register for Making Tax Digital for VAT**
  All VAT-registered businesses must use MTD-compatible software and submit returns digitally. Register via HMRC's MTD sign-up service.

VAT Registration Thresholds & Schemes 2024/25

Scheme / Threshold	Limit	Key Benefit
Mandatory Registration Threshold	£90,000 taxable turnover	Required by law above this level
Deregistration Threshold	£88,000 taxable turnover	Can deregister if turnover falls below
Cash Accounting Scheme	Up to £1.35m turnover	Pay VAT when customer pays you
Flat Rate Scheme	Up to £150,000 VAT-exclusive turnover	Fixed % of gross turnover — simplified
Annual Accounting Scheme	Up to £1.35m turnover	Submit one return per year
VAT Groups	Two or more related entities	Single return for the whole group

Key Points:

- Late registration penalty: 5%–15% of VAT due since registration date
- Voluntary registration: effective from any agreed date
- Non-established businesses must register regardless of turnover
- Intending traders can register before making any taxable supplies

Chapter 2

VAT Return Preparation

Completing and submitting VAT returns accurately

VAT returns must be submitted to HMRC every quarter (or monthly/annually depending on scheme) via MTD-compatible software. The standard VAT return has 9 boxes. Returns are due one calendar month and seven days after the end of the VAT period.

VAT Return Checklist

- [ ] **Reconcile sales invoices to Box 1 (Output VAT)**

  Total VAT charged on all standard and reduced-rated sales in the period. Include proforma converted to invoices, credit card sales, and EU supplies where UK VAT applies.

- [ ] **Complete Box 2 — VAT on acquisitions from EU**

  Post-Brexit: VAT on goods acquired from EU under Postponed VAT Accounting (PVA). Obtain Monthly PVA statements from HMRC Online.

- [ ] **Total output tax in Box 3**

  Box 3 = Box 1 + Box 2. This is total VAT owed to HMRC before deducting input tax.

- [ ] **Reconcile purchase invoices to Box 4 (Input VAT)**

  Only VAT on business purchases with a valid VAT invoice. Exclude blocked input tax: business entertainment, cars (unless taxi/driving school), non-business use.

- [ ] **Calculate net VAT payable / reclaimable — Box 5**

  Box 5 = Box 3 − Box 4. Positive = pay HMRC. Negative = repayment due. Repayments usually processed within 30 days.

- [ ] **Complete Boxes 6 & 7 — Net values**

  Box 6: total value of sales excluding VAT. Box 7: total value of purchases excluding VAT. Include zero-rated and exempt supplies.

- [ ] **Complete Boxes 8 & 9 — EU trade (if applicable)**

  Box 8: total value of goods supplied to EU (zero-rated). Box 9: total value of goods acquired from EU. Report services separately on EC Sales List if applicable.

- [ ] **Submit return and payment by the due date**

  Submit via MTD software. Payment by Direct Debit, BACS, or online banking. Allow 3 working days for payment to clear. Direct Debit collected 3 days after deadline.

The 9 VAT Return Boxes

Box	Description	What to Include
Box 1	VAT due on sales & outputs	Output VAT on all taxable supplies
Box 2	VAT due on acquisitions from EC	Postponed Import VAT (post-Brexit)
Box 3	Total VAT due (Box 1 + Box 2)	Calculated automatically
Box 4	VAT reclaimed on purchases	Input VAT on business expenses
Box 5	Net VAT to pay / reclaim	Box 3 minus Box 4
Box 6	Total value of sales (ex-VAT)	All outputs incl. zero-rated & exempt
Box 7	Total value of purchases (ex-VAT)	All inputs incl. zero-rated & exempt
Box 8	Total goods supplied to EC	Zero-rated EU goods (Intrastat)
Box 9	Total goods acquired from EC	EU goods acquisitions

Common Errors to Avoid:

- Claiming input VAT without a valid VAT invoice
- Missing the filing deadline — default surcharge / late payment penalty applies
- Forgetting to include import VAT under Postponed VAT Accounting
- Incorrectly coding mixed-use expenses (e.g., car fuel — 50% rule may apply)
- Not adjusting for credit notes issued or received in the period

Chapter 3

Input & Output VAT Reconciliation

Ensuring VAT figures are accurate and complete

Accurate reconciliation of input and output VAT is essential for a correct VAT return and to withstand HMRC scrutiny. The VAT account (required by law) must show all output tax due and all input tax claimed in each period.

Reconciliation Checklist

- [ ] **Maintain a formal VAT account**

  Required under VAT Regulations 1995. Must show output VAT, input VAT, and net amount for each period. Can be part of your accounting software.

- [ ] **Match output VAT to sales ledger**

  Total VAT on sales invoices in your sales ledger must equal Box 1. Run a VAT audit trail report from your accounting software and reconcile any differences.

- [ ] **Match input VAT to purchase ledger**

  Total reclaimable VAT on purchase invoices must equal Box 4. Check: is each invoice from a VAT-registered supplier? Is it a valid VAT invoice?

- [ ] **Check valid VAT invoice requirements**

  A valid VAT invoice must show: supplier name & address, VAT number, invoice date & number, description of goods/services, net amount, VAT rate, VAT amount, and gross total.

- [ ] **Identify and exclude blocked input VAT**

  Cannot reclaim: business entertainment (UK customers), cars purchased (not for taxi/leasing), non-business use portion, private expenditure.

- [ ] **Account for partial exemption if applicable**

  If the business makes both taxable and exempt supplies, only a proportion of input VAT is reclaimable. Apply the standard method or an agreed special method.

- [ ] **Process credit notes correctly**

  Credit notes from suppliers reduce input VAT in Box 4. Credit notes issued to customers reduce output VAT in Box 1. Must be included in the period issued.

VAT Reconciliation Example

Item	Amount (£)
Total Sales (VAT-exclusive)	200,000
Output VAT @ 20%	40,000
Total Purchases (VAT-exclusive)	120,000
Input VAT @ 20%	24,000
Less: Blocked input VAT (entertainment)	(800)
Net Reclaimable Input VAT	23,200
Net VAT Payable to HMRC (Box 5)	16,800

Partial Exemption De Minimis:

- If exempt input VAT is less than £625/month AND less than 50% of total input VAT — it can be reclaimed in full (de minimis rule)
- Annual adjustment required at the end of the partial exemption tax year
- Seek professional advice if supplies include exempt items (insurance, finance, property lettings)

Chapter 4

Making Tax Digital (MTD)

Digital VAT compliance requirements

Making Tax Digital for VAT is mandatory for all VAT-registered businesses. MTD requires businesses to keep digital records and submit VAT returns using HMRC-approved software. MTD for Income Tax Self Assessment (MTD ITSA) is being phased in from April 2026 for sole traders and landlords with income over £50,000.

MTD Compliance Checklist

- ☐ **Sign up for MTD for VAT**
  Register via your HMRC Business Tax Account or agent services account. Use HMRC's MTD sign-up service. Agent must link to client's MTD account.
- ☐ **Use HMRC-recognised MTD-compatible software**
  Must use software that can: keep digital VAT records, submit returns directly to HMRC via API. Approved software includes: Xero, QuickBooks, Sage, FreeAgent, and many others.
- ☐ **Maintain digital records for all VAT transactions**
  Digitally record: time of supply, value of supply, VAT rate, and input VAT on each purchase. Manual spreadsheets are only permitted with bridging software.
- ☐ **Ensure the digital link chain is unbroken**
  Data must flow digitally from source to submission without manual re-keying. Copying and pasting figures between software breaks the digital link — this is non-compliant.
- ☐ **Submit VAT returns via software — not HMRC portal**
  The HMRC VAT portal has been closed for MTD businesses. All returns must be submitted through MTD-compatible software using your MTD credentials.
- ☐ **Prepare for MTD for Income Tax (from April 2026)**
  Self-employed and landlords with income over £50,000 must submit quarterly updates from April 2026. Those over £30,000 from April 2027. Use MTD ITSA-compatible software.

MTD Timeline

Date	MTD Requirement
April 2019	MTD VAT mandatory for businesses above VAT threshold (£85,000 then)
April 2022	MTD VAT mandatory for ALL VAT-registered businesses
April 2026	MTD ITSA: sole traders & landlords — income over £50,000
April 2027	MTD ITSA: income over £30,000
April 2028	MTD ITSA: income over £20,000 (proposed)
TBC	MTD for Corporation Tax — consultation ongoing

MTD Tips:

- Bridging software is allowed but creates risk — move to fully integrated software
- Keep a digital audit trail — HMRC can inspect digital records
- MTD penalties: £5–£15 per day for continued non-compliance
- Agents must use the Agent Services Account (ASA) to manage MTD clients

Chapter 5

PAYE & Payroll Tax

Employer obligations for Pay As You Earn

As an employer, you must operate PAYE (Pay As You Earn) to deduct Income Tax and National Insurance Contributions (NICs) from employees' wages. PAYE submissions must be made to HMRC in real time via Full Payment Submission (FPS) on or before each payday.

PAYE Compliance Checklist

- ☐ **Register as an employer with HMRC**

  Register online via HMRC's 'Register as an employer' service. Do this before your first payday. HMRC will issue a PAYE reference number and Accounts Office reference.

- ☐ **Collect employee starter information**

  Obtain P45 from previous employer, or complete New Starter Checklist. Determine correct tax code. Check eligibility to work in UK.

- ☐ **Calculate Income Tax using correct tax codes**

  Apply the tax code from P45, P6/P9 notice from HMRC, or starter checklist. Standard code 2024/25: 1257L (£12,570 personal allowance). Use HMRC's PAYE tools or payroll software.

- ☐ **Deduct and pay National Insurance Contributions**

  Deduct employee NICs. Calculate employer NICs. Pay both to HMRC by the 19th (post) or 22nd (electronic) of the month following the tax month.

- ☐ **Submit Full Payment Submission (FPS) on or before payday**

  FPS must be submitted on or before the date employees are paid. Include: name, NI number, tax code, gross pay, tax deducted, NICs, and year-to-date figures.

- ☐ **Submit Employer Payment Summary (EPS) if applicable**

  Submit EPS by 19th of following month if: no employees paid that month, reclaiming statutory payments (SMP/SSP), claiming Employment Allowance.

- ☐ **Pay PAYE and NICs by deadline**

  Monthly: by 19th (cheque) or 22nd (electronic). Quarterly (if liability < £1,500/month): by 19th after end of quarter. Failure: late payment penalties apply.

☐ **Issue payslips to all employees**

Itemised payslip required for all workers on or before payday. Must show gross pay, deductions, net pay, and number of hours if pay varies.

☐ **Complete year-end procedures**

By 19 April: submit final FPS with 'Last in year' indicator. By 31 May: issue P60 to all current employees. By 6 July: submit P11D for expenses and benefits.

Income Tax Rates 2024/25 (England, Wales & Northern Ireland)

Band	Taxable Income	Rate
Personal Allowance	Up to £12,570	0%
Basic Rate	£12,571 – £50,270	20%
Higher Rate	£50,271 – £125,140	40%
Additional Rate	Over £125,140	45%
Scottish Basic Rate	£14,877 – £26,561	20%
Scottish Intermediate Rate	£26,562 – £43,662	21%
Scottish Higher Rate	£43,663 – £75,000	42%
Scottish Top Rate	Over £125,140	48%

Key PAYE Deadlines:

- FPS: on or before each payday (real time)
- PAYE payment: 19th (post) / 22nd (electronic) after tax month end
- P60 to employees: by 31 May after tax year end
- P11D benefits: filed by 6 July; tax/NICs paid by 19/22 July
- Employment Allowance: claim via EPS (up to £5,000 reduction in employer NICs)

Chapter 6

National Insurance Contributions (NICs)

Classes, rates and employer obligations

National Insurance Contributions fund state benefits including the State Pension. NICs are payable by employees, employers, and the self-employed. The correct NIC class depends on the taxpayer's employment status and level of earnings.

NIC Compliance Checklist

- [ ] **Identify the correct NIC class for each worker**
  Class 1: employed. Class 1A: on benefits in kind (employer only). Class 1B: PAYE Settlement Agreements. Class 2/4: self-employed. Class 3: voluntary.
- [ ] **Apply correct NIC thresholds**
  Employee NICs only due above Lower Earnings Limit (£6,396). Employer NICs due above Secondary Threshold (£9,100 standard; £5,000 for under-21s and apprentices).
- [ ] **Claim Employment Allowance if eligible**
  Up to £5,000 reduction in employer Class 1 NICs per year. Not available if sole director and only employee, or if connected companies exceed limit.
- [ ] **Account for Class 1A NICs on benefits in kind**
  Employer pays 13.8% Class 1A on all taxable benefits (company cars, private medical insurance, etc.). Reported on P11D. Due by 19/22 July.
- [ ] **Handle director NICs correctly**
  Directors are assessed on an annual (cumulative) basis, not weekly/monthly. Use the annual earnings period method or the alternative method.

NIC Rates 2024/25

NIC Class	Who Pays	Rate	Threshold
Class 1 — Employee	Employee	8% (2% above £50,270)	£12,570 – £50,270

NIC Class	Who Pays	Rate	Threshold
Class 1 — Employer	Employer	13.8%	Above £9,100
Class 1A	Employer only	13.8%	On benefits in kind
Class 2 (Self-employed)	Self-employed	£3.45/week	Profits above £12,570
Class 4 (Self-employed)	Self-employed	6% (2% above £50,270)	£12,570 – £50,270

Remember:

- Employment Allowance must be claimed each tax year via EPS
- Under-21 employees and apprentices under 25: 0% employer NICs up to £50,270
- Freeport employees: 0% employer NICs on earnings up to £25,000
- Veterans in first year of civilian employment: 0% employer NICs

Chapter 7

Corporation Tax

CT600 preparation and compliance

Limited companies and other incorporated entities pay Corporation Tax (CT) on their taxable profits. The main CT rate is **25%** for profits over £250,000 and **19%** for profits up to £50,000 (2024/25). Marginal relief applies between these thresholds. Companies must file a CT600 return and pay CT within 9 months and 1 day of their accounting period end.

Corporation Tax Checklist

- ☐ **Register for Corporation Tax within 3 months of starting**

  Notify HMRC using form CT41G or via HMRC Online. Failure to notify: penalty up to 100% of tax unpaid.

- ☐ **Prepare statutory accounts and tax computation**

  Start with the profit per statutory accounts. Add back disallowable expenses (client entertaining, depreciation, fines). Deduct capital allowances.

- ☐ **Claim all available reliefs and allowances**

  Annual Investment Allowance (AIA): 100% relief on plant & machinery up to £1m. Full Expensing: 100% first-year allowance on qualifying plant. R&D Relief (see Chapter 10).

- ☐ **Compute CT liability and marginal relief if applicable**

  Main rate: 25% (profits over £250,000). Small profits rate: 19% (profits up to £50,000). Marginal relief: 3/200 fraction between thresholds. Adjust for associated companies.

- ☐ **File CT600 online by the filing deadline**

  Due 12 months after accounting period end. Must be filed online via HMRC Corporation Tax Online or third-party software.

- ☐ **Pay Corporation Tax by the payment deadline**

  Due 9 months and 1 day after period end for companies not paying quarterly. Large companies (profits > £1.5m): quarterly instalment payments.

- ☐ **Handle loss relief correctly**

  Trading losses: carry back 1 year (up to £2m) or carry forward indefinitely. Group relief: surrender losses between group companies.

Corporation Tax Rates & Thresholds 2024/25

Taxable Profits	Rate	Notes
Up to £50,000	19%	Small profits rate
£50,001 – £250,000	19%–25%	Marginal relief applies
Over £250,000	25%	Main rate
Ring-fence profits (oil & gas)	30%	Supplementary charge 10%
Diverted profits	31%	Anti-avoidance measure

Key CT Deadlines:

- CT registration: within 3 months of starting to trade
- CT600 filing: 12 months after accounting period end
- CT payment: 9 months + 1 day after accounting period end
- Quarterly instalments: large companies with profits exceeding £1.5m
- Amended return: within 12 months of original filing deadline

Chapter 8

Self Assessment

Personal tax returns for directors, partners and sole traders

Self Assessment (SA) is the system by which individuals report income not taxed at source to HMRC. Those required to file include: self-employed sole traders, company directors, partners in a partnership, those with income over £100,000, landlords, and those with foreign income.

Self Assessment Checklist

- [ ] **Register for Self Assessment by 5 October**

  If newly self-employed or otherwise required to file, register by 5 October in the tax year after you started. Use HMRC's 'Register for Self Assessment' service.

- [ ] **Gather all income information**

  Employment income (P60, P11D), self-employment income and expenses, rental income, dividends, savings interest, pension income, and any foreign income.

- [ ] **Claim all allowable expenses**

  Sole traders: business expenses fully deductible if wholly and exclusively for business. Use simplified expenses for mileage (45p/mile up to 10,000; 25p thereafter), home use, and vehicles.

- [ ] **Calculate and claim Personal Allowance and reliefs**

  Personal Allowance: £12,570 (tapers to zero above £100,000 income). Marriage Allowance, Blind Person's Allowance, Gift Aid donations — claim all applicable reliefs.

- [ ] **Report dividends correctly**

  Dividend Allowance: £500 (2024/25). Above this: Basic Rate 8.75%, Higher Rate 33.75%, Additional Rate 39.35%.

- [ ] **Pay Payments on Account (if applicable)**

  If previous year's SA tax bill > £1,000, pay two POAs: 31 January and 31 July, each 50% of prior year bill. Balancing payment due 31 January following tax year.

- [ ] **File return by the deadline**

  Paper return: 31 October. Online return: 31 January. Late filing penalty: £100 immediately, plus daily penalties after 3 months.

Self Assessment Key Dates

Date	Requirement
5 October	Register for SA if newly required
31 October	Deadline for paper SA tax return
30 December	Online filing deadline to collect via PAYE (if eligible)
31 January	Online SA return filing deadline
31 January	Balancing payment due + 1st Payment on Account
31 July	2nd Payment on Account
Within 12 months	Deadline to amend a filed return

Director Tips:

- Directors must file SA even if all income is taxed via PAYE
- Salary/dividend mix planning: common for owner-managers to take salary up to NIC threshold and top up with dividends
- High Income Child Benefit Charge applies where income exceeds £60,000 (2024/25)
- Consider pension contributions to reduce adjusted net income below key thresholds

Chapter 9

Construction Industry Scheme (CIS)

Contractor and subcontractor obligations

The Construction Industry Scheme (CIS) requires contractors to deduct money from subcontractor payments and pass it to HMRC as advance payment towards the subcontractor's tax and NIC. It applies to construction operations in the UK. Contractors must register with HMRC before making their first payment to a subcontractor.

CIS Compliance Checklist

- ☐ **Register as a CIS contractor with HMRC**

  Register before your first subcontractor payment. Contractors include those who pay subcontractors for construction work or who are in the construction industry as a business.

- ☐ **Verify subcontractors before payment**

  Use HMRC's CIS Online Service to verify each subcontractor. Verification determines the deduction rate to apply. Results are valid until the subcontractor's status changes.

- ☐ **Apply correct CIS deduction rates**

  Registered & verified with gross payment status: 0%. Registered subcontractor: 20%. Unregistered/ unverified subcontractor: 30%.

- ☐ **Provide CIS payment and deduction statements**

  By 19th of each month, provide each subcontractor a written statement of gross payment, materials cost, and CIS deduction. Keep copies for your records.

- ☐ **Submit monthly CIS return to HMRC**

  Submit CIS300 monthly return by 19th of the following month, even if nil. Include all payments made to subcontractors and deductions made.

- ☐ **Pay CIS deductions to HMRC**

  CIS deductions are paid alongside PAYE. By 19th (post) or 22nd (electronic) of the month following payment. Can be offset against PAYE/NICs liability.

☐ **Claim CIS deductions suffered (subcontractors)**

Subcontractors offset CIS deductions against their own CT or SA liability. Claim via CT600 or Self Assessment return. Excess deductions can be repaid by HMRC.

CIS Deduction Rates

Subcontractor Status	Deduction Rate	Requirement
Gross payment status	0%	HMRC approval — must meet compliance tests
Registered subcontractor	20%	Verified with HMRC CIS system
Unregistered / unverified	30%	No verification — highest deduction rate

CIS Penalties:

- Late CIS monthly return: £100 (1 day late), £200 (2 months), £300 or 5% of deductions (6 months+)
- Incorrect return: up to £3,000 penalty
- Failure to verify subcontractors: 30% deduction must be applied
- Domestic clients: CIS does not apply to private householders commissioning construction work

Chapter 10

Capital Allowances & R&D Relief

Tax reliefs to reduce your CT or SA liability

Capital allowances replace depreciation in the tax computation, giving tax relief on capital expenditure. Research & Development (R&D) relief provides enhanced deductions or credits for qualifying innovation. These reliefs can significantly reduce a business's tax liability.

Capital Allowances Checklist

- [ ] **Identify qualifying capital expenditure**
  Plant & machinery, equipment, fixtures, integral features, computers, vehicles (excluding cars in some cases). Land, buildings, and non-qualifying assets excluded.
- [ ] **Claim Annual Investment Allowance (AIA)**
  100% first-year allowance on up to £1,000,000 of qualifying plant & machinery per year. Shared between associated businesses. Most businesses can write off all capex immediately.
- [ ] **Claim Full Expensing (from April 2023)**
  100% first-year allowance on main pool plant & machinery. 50% first-year allowance on special rate pool assets. No monetary cap — replaced super-deduction.
- [ ] **Use Writing Down Allowances for remaining assets**
  Main pool: 18% WDA per annum. Special rate pool (integral features, long-life assets, thermal insulation): 6% WDA. Cars: 18% (emission ≤50g/km) or 6% (over 50g/km).
- [ ] **Claim R&D Relief if applicable**
  SME R&D Relief: enhanced deduction of 86% + 10% expenditure credit (merged scheme from April 2024). Large company RDEC: 20% above-the-line credit.
- [ ] **Report capital disposals correctly**
  When an asset is sold: deduct sale proceeds from pool. Balancing allowance if pool goes negative. Balancing charge if disposal proceeds exceed pool value.

Capital Allowances Summary 2024/25

Allowance	Rate	Assets Covered
Annual Investment Allowance	100%	Plant & machinery up to £1m/year
Full Expensing — Main Pool	100% first year	New main pool P&M (companies only)
Full Expensing — Special Rate	50% first year	New special rate assets (companies only)
Writing Down Allowance — Main	18% reducing balance	General plant & machinery
Writing Down Allowance — Special	6% reducing balance	Integral features, long-life assets
Cars ≤50g/km CO_2	18% or 100% new	Low-emission vehicles
Cars >50g/km CO_2	6%	Higher-emission vehicles

R&D Relief Tips:

- Qualifying activities: advances in science or technology, overcoming technical uncertainties
- Qualifying costs: staff, consumables, software, subcontractors (capped)
- Submit R&D claim via CT600 with Additional Information Form (AIF) — now mandatory
- HMRC R&D compliance checks are increasing — keep detailed contemporaneous records

Chapter 11

Record Keeping & Audit Readiness

HMRC requirements and audit preparation

HMRC requires all businesses to maintain adequate records to support their tax returns. For VAT, records must be kept for 6 years. For Self Assessment and Corporation Tax, records must be kept for at least 6 years from the end of the relevant tax year or accounting period.

Record Keeping Checklist

- ☐ **Keep all VAT invoices (sales and purchases)**

  Must keep: customer name & address, VAT number, invoice number & date, description, net amount, VAT rate, VAT amount, gross total. Electronic copies acceptable.

- ☐ **Maintain a VAT account**

  Legal requirement under VAT Regulations 1995. Record: output VAT on sales, input VAT on purchases, and net payable/reclaimable for each period.

- ☐ **Retain bank statements and payment records**

  Bank statements, paying-in slips, cheque stubs, and electronic payment records. Essential for reconciling to accounts and supporting expense claims.

- ☐ **Keep payroll records**

  P45s, P46s/starter checklists, FPS submissions, payslips, P11D forms, P60s. Payroll records: 3 years after tax year end. NIC records: 3 years.

- ☐ **Store PAYE settlement agreement records**

  If you have a PSA with HMRC, retain a copy of the agreement and related expenses claims.

- ☐ **Maintain fixed asset register**

  Record all capital assets: description, purchase date, cost, disposal date and proceeds. Essential for calculating capital allowances and gains.

- ☐ **Implement digital record keeping for MTD**

  All records must be kept digitally for VAT under MTD. Use HMRC-approved accounting software with an unbroken digital link from source to submission.

Record Retention Periods

Record Type	Retention Period	Notes
VAT records & invoices	6 years	From end of VAT period
Corporation Tax records	6 years	From end of accounting period
Self Assessment records	5 years 10 months	From 31 Jan submission deadline
PAYE records	3 years	After tax year end
Company statutory records	Permanently	Including minutes, share register
CIS records	3 years	After end of tax year
Payroll records	3 years	After tax year

HMRC Enquiry Powers:

- HMRC can open a routine enquiry within 12 months of filing deadline
- Discovery assessments can go back 4 years (careless), 6 years (deliberate), or 20 years (fraud)
- Keep records beyond minimum periods if under enquiry or involved in disputes
- Digital records: must be kept in a format that can be provided to HMRC on request

Chapter 12

HMRC Penalties & Appeals

Understanding penalties and how to appeal

HMRC operates a comprehensive penalty regime for late filing, late payment, errors in returns, and failure to notify. Understanding these penalties — and how to appeal against them — is essential for every tax practitioner.

Penalty Awareness Checklist

- ☐ **Know the VAT late filing penalties**
  Default surcharge replaced by new points-based system (from Jan 2023): accumulate points for each late submission. 4 points = £200 penalty. Resets after compliance period.
- ☐ **Understand VAT late payment penalties**
  New regime from Jan 2023: 2% of VAT outstanding after 15 days + 2% of amount still outstanding after 30 days. After 31 days: 4% per annum daily rate.
- ☐ **Know CT and SA late filing penalties**
  CT600 late: £100 immediately, £100 at 3 months. After 18 months: 10% of unpaid tax. SA: £100 immediately, £10/day (up to 90 days), 5% of tax at 6 and 12 months.
- ☐ **Understand error penalties**
  Prompted disclosure: 15%–30% (careless), 30%–70% (deliberate), 45%–100% (concealed). Unprompted: 0%–30% (careless), 20%–70% (deliberate), 30%–100% (concealed).
- ☐ **Claim penalty reductions for disclosure quality**
  Penalties reduced for: telling HMRC (notifying), helping HMRC quantify error, giving HMRC access to records. Minimum penalty for unprompted, full disclosure is often 0%.
- ☐ **File appeals within 30 days**
  Appeal a penalty within 30 days of HMRC's decision letter. Appeal to HMRC first (internal review). If unresolved, appeal to First-tier Tax Tribunal.
- ☐ **Consider Time to Pay arrangements for tax debts**
  If unable to pay on time, contact HMRC before the deadline. Time to Pay (TTP) arrangement can spread payments. Interest continues to accrue but surcharges may be suspended.

Key HMRC Penalty Summary

Tax / Obligation	Late Filing	Late Payment
VAT (new regime)	Points system — £200 at 4 pts	2% at 15 days + 2% at 30 days, then daily
Corporation Tax	£100 (day 1), £200 (3 months)	Interest at HMRC rate + 5% surcharge
Self Assessment	£100 immediate, £10/day to 90d	5% surcharge at 30 days, 6 months, 12 months
PAYE / NIC	Up to £400/month	HMRC interest on late payments
CIS monthly return	£100, £200, £300 (stepped)	Interest and penalties
Failure to notify	Up to 100% of unpaid tax	Based on behaviour — unprompted = lower

Penalty Mitigation Tips:

- Always file on time even if you cannot pay — late filing and late payment are separate penalties
- Disclose errors proactively to HMRC using form VAT652 (VAT) or amendment (SA/CT)
- Keep evidence of reasonable excuse (e.g. serious illness, HMRC system failure)
- Use HMRC's Time to Pay helpline: 0300 200 3835
- Consider Tax Tribunal if HMRC's internal review is unsuccessful

Monthly Compliance Tracker

Use this tracker to monitor all compliance obligations each month. Print and complete for each tax month.

No.	Obligation	Responsible	Deadline	Done ✓/ ✗
1	Gather VAT invoices & receipts	Bookkeeper	1st week	
2	Reconcile sales ledger to output VAT	Accountant	10th	
3	Reconcile purchase ledger to input VAT	Accountant	10th	
4	Run payroll & submit FPS	Payroll Manager	Payday	
5	Pay PAYE/NICs to HMRC	Finance	22nd (electronic)	
6	Submit CIS monthly return (if applicable)	Accountant	19th	
7	Pay CIS deductions to HMRC	Finance	22nd (electronic)	
8	Review MTD VAT return (quarterly)	VAT Manager	Quarterly	
9	Submit VAT return & pay VAT	Accountant	1 month + 7 days after period	
10	Review aged debtors/creditors	Finance	Month end	
11	Reconcile bank accounts	Bookkeeper	Month end	
12	Check HMRC correspondence	Tax Manager	Ongoing	

Key Rates & Allowances 2024/25

Item	Rate / Amount
VAT Standard Rate	20%
VAT Reduced Rate	5%
VAT Zero Rate	0%
VAT Registration Threshold	£90,000
VAT Deregistration Threshold	£88,000
Corporation Tax — Main Rate	25% (profits over £250,000)
Corporation Tax — Small Profits Rate	19% (profits up to £50,000)
Income Tax Personal Allowance	£12,570
Income Tax Basic Rate	20% (£12,571 – £50,270)
Income Tax Higher Rate	40% (£50,271 – £125,140)
Income Tax Additional Rate	45% (over £125,140)
Dividend Allowance	£500
NIC Primary Threshold (Employee)	£12,570
NIC Secondary Threshold (Employer)	£9,100
Employee NIC Rate	8%
Employer NIC Rate	13.8%
Annual Investment Allowance	£1,000,000
Capital Gains Tax Annual Exempt Amount	£3,000
CGT Basic Rate (non-residential)	10%

Item	Rate / Amount
CGT Higher Rate (non-residential)	20%
CGT on Residential Property — Basic	18%
CGT on Residential Property — Higher	24%
Pension Annual Allowance	£60,000
ISA Annual Allowance	£20,000
Employment Allowance (employer NICs)	Up to £5,000
HMRC Late Payment Interest Rate	Bank Rate + 2.5%
Standard Mileage Rate (first 10,000 miles)	45p per mile
Standard Mileage Rate (over 10,000 miles)	25p per mile

Disclaimer

This guide has been prepared for general information purposes only and does not constitute professional tax or legal advice. Tax legislation changes frequently — always verify current rates and thresholds via HMRC's official website (gov.uk/hmrc). Businesses and individuals should seek advice from a qualified accountant or tax adviser for their specific circumstances. The author accepts no liability for actions taken or not taken based on the information in this guide.